

THE WALL STREET JOURNAL.

DOW JONES | News Corp

THURSDAY, AUGUST 6, 2026 ~ VOL. CCLXXXVIII NO. 31

WSJ.com

★★★★ \$5.00

DJIA 54349.12 ▲ 263.24 0.49% NASDAQ 26363.44 ▼ 0.8% STOXX 600 657.14 ▲ 0.04% 10-YR. TREAS. ▲ 2/32, yield 4.616% OIL \$75.22 ▼ \$0.55 GOLD \$4,245.80 ▲ \$150.40 EURO \$1.1555 YEN 157.76

What's News

Business & Finance

- ◆ **Trump has spoken** repeatedly with Kevin Warsh since he became Fed chairman, maintaining a line of communication between a president and a central bank chief that departs from recent precedent. **A1**
- ◆ **Google overhauled** the leadership of its AI operations and named a new chief scientist to replace incumbent Jeff Dean, who is leaving the company. **B1**
- ◆ **Prosecutors earlier** this year reviewed claims that JPMorgan Chase executives ignored deficiencies in the bank's antifraud program and improperly denied more than \$100 million in reimbursements to defrauded customers. **B1**
- ◆ **Citadel's purchase** of the bulk of the stock portfolio of the AI-focused hedge fund Situational Awareness helped propel its performance last month. **B2**
- ◆ **A round of strong** earnings reports helped to lift the Dow 0.5% to a record, while the S&P 500 and Nasdaq fell 0.2% and 0.8%, respectively. **B10**
- ◆ **Meta Platforms** announced a new coding agent called Muse Code that it is pitching as a cheaper alternative to competitors. **B1**
- ◆ **Honda more than** doubled first-quarter net profit and raised its annual forecasts, as yen weakness boosted quarterly results and lifted earnings prospects. **B3**
- ◆ **Kraft Heinz recorded** a narrower loss and lower sales for the second quarter, but raised its sales outlook. **B3**
- ◆ **Heineken's sales volumes** picked up pace over the second quarter, boosted by premium labels and lower-alcohol products. **B3**

Worldwide

- ◆ **The narrow victory** of progressive Abdul El-Sayed in Michigan's Democratic primary for the Senate is a landmark win for the party's left wing and a sign that the battle with centrists over the party's course is far from settled. **A1, A4**
- ◆ **Iran and Oman** agreed on the main points of a draft agreement to reopen the Strait of Hormuz that would give Tehran oversight of ships entering the Persian Gulf but wouldn't let it levy tolls or service fees. **A1**
- ◆ **The Senate confirmed** Erica Schwartz as director of the CDC, approving the first permanent leader for the health agency in nearly a year. **A2**
- ◆ **The FDA approved** Moderna's mRNA-based flu vaccine for adults aged 50 and older, clearing the first shot of its kind after a review process that nearly collapsed. **A3**
- ◆ **A Senate panel** investigating Anthony Fauci obtained a copy of the doctor's iPhone, potentially securing even more records related to his actions during the Covid-19 pandemic. **A3**
- ◆ **Missourians defeated** a ballot measure that would have allowed lawmakers to eliminate state income tax and replace it with higher sales taxes. **A4**
- ◆ **Chuck Edwards said** he wouldn't seek re-election two days after a House investigation concluded the congressman had made unwelcome sexual advances to female staffers. **A4**
- ◆ **Maryland and** the Maryland Jockey Club altered the schedule of the Preakness Stakes to hold the race three weeks and a day after the Kentucky Derby. **A2**

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Iran, Oman Near Hormuz Deal

Agreement would give Tehran a role in controlling traffic, but wouldn't allow tolls

By SUMMER SAID
AND BENOIT FAUCON

DUBAI—Iran and Oman were completing a draft agreement on Wednesday to reopen the Strait of Hormuz that would give Tehran oversight of ships entering the Persian Gulf, but wouldn't let it levy tolls or service fees, people familiar with the matter said.

The parties have agreed on the main points of the draft—which would set up an inbound lane near Iran and an outbound lane near Oman—and have shared it with the U.S., countries in the region and Iran's top leaders, who still needed to sign off, they said. Iranian Foreign Ministry spokesman Esmail Baghaei told reporters that Tehran reached an agreement with Oman to create a safe route through the Strait of Hormuz, and that an outline of the main points was being completed. A deal could still fall apart or fail to open the strait. Kazem Gharibabadi, deputy Ira-

nian foreign minister, said the agreement with Oman wouldn't necessarily open the waterway unless the U.S. met unspecified conditions, state media reported. Diplomatic efforts to open the strait have previously failed, and mediators are concerned any deal could be undermined by hard-liners in the Islamic Revolutionary Guard Corps, which protects the regime and enforces Iran's hold on the strait. But the U.S. and Iran each have economic incentives to ease the closure. An agreement could boost oil and gas shipments and relieve pressure on the global

economy. It could open the path back to negotiations where Iran could gain substantial relief from sanctions in exchange for concessions on its nuclear program. Iran also relies on the strait for most of its oil exports. President Trump and administration officials have said an agreement to reopen the strait is close. Gulf states worry it could entrench Iran's sway over a waterway that is crucial for their livelihoods. "The question is whether the Trump administration understands that this agreement

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Michigan Win Lifts The Left, But Fight Remains

Democrats look to unite after El-Sayed ekes out a victory in the Senate primary

By AARON ZITNER
AND JOHN MCCORMICK

The victory by Abdul El-Sayed in Michigan's Democratic primary for the U.S. Senate marked both a landmark win for the party's insurgent left wing and a sign that the intense battle with centrists over the party's course is far from settled. El-Sayed built a national brand as a progressive with an ambitious, liberal agenda, social-media savvy and endorsements from the party's progressive icons. But his victory over Rep. Haley Stevens, a centrist favored by the party's establishment leaders, turned into a nail-biter rather than the expected easy win, as the roller-coaster vote count stretched into early Wednesday. The progressive former public-health official was declared the winner Wednesday morning, eking out a victory by about 15,000 votes, less than 1% of the total cast, in nearly complete tallies. The close result places a left-wing candidate on the ballot in a competitive general election, an outcome that centrists warn could imperil Democrats' chance of recapturing the Senate. The results also showed that many Black voters—a pillar of the Democratic coalition—as well as working-class voters remain politically moderate and drawn to candidates backed by their party's leadership.

"This victory does blow up many of the assumptions about the limits of the progressive movement," said Evan Roth Smith, a Democratic pollster and consultant. "If you have a competitive primary election with a sitting Democratic member of Congress, who received enormous institutional backing, and then not only do you prevail but you prevail in the Midwest, in a swing state, a key presidential state—that is brand new for the progressive movement."

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◆ **Progressives flex muscles** in primaries..... A4

Kyiv Pounded as Antimissile Stockpile Dwindles



DEADLY STRIKE: A warehouse burns in Kyiv on Wednesday after a Russian missile and drone attack killed at least 17 people. Ukraine's air-defense forces said they were unable to intercept any of the projectiles that targeted a civilian area. **A6**

Airlines Push Back Against ICE Enforcement

Airlines are pushing back against federal authorities' efforts to ramp up immigration enforcement at U.S. airports.

By Andrew Tangel,
Michelle Hackman
and Alison Sider

In one case on July 25, an Immigration and Customs Enforcement officer tried to board a Southwest Airlines flight in Dallas to make an arrest, only to be rebuffed by the airline, according to documents reviewed by The Wall

Street Journal. The incident is among at least a half-dozen similar encounters involving Southwest in the past few weeks, a person familiar with the matter said. Officers at ICE had made occasional arrests at airports over the past year, but the agency has since stepped up enforcement. Top ICE leaders have told officers that they should attempt arrests at Transportation Security Administration checkpoints when possible, but believe the directive hasn't been consistently followed at airports, people familiar with the matter said.

In recent weeks, officers have broadened their approach to make more arrests near gates and ticket counters at airports across the country. ICE has made about one to three dozen arrests a day at U.S. airports last month, said a government official familiar with the data. Many people being taken into custody haven't traditionally been targeted by ICE. While earlier cases primarily involved ICE pursuing im-

migrants with final deportation orders, the arrests now involve people with expired visas but another form of legal status pending, such as a green card or asylum application. Visa holders with applications pending typically have been allowed to continue working in the U.S. and have protections from being deported. ICE has argued that the expired visas are grounds for arrest. The change in tactics

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President Repeatedly Contacts Fed Chief

WASHINGTON—President Trump has spoken repeatedly with Kevin Warsh since he became chairman of the Federal Reserve, people familiar with the matter said, maintaining a line of communication between a president and a central bank chief that departs from recent precedent.

By Brian Schwartz,
Philip Wegmann
and Nick Timiraos

The president calls Warsh in bursts, the people said—several times in a stretch of days, then quiet for longer periods. Trump has sought Warsh's counsel on a range of matters, including how the war in Iran and the rapid rise of artificial intelligence are affecting the economy, some of the people said. Warsh has been on the job for less than three months. It wasn't clear if Trump and Warsh have discussed monetary policy. A person familiar with the conversations

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INSIDE



SPORTS
Gianni Infantino survives as FIFA president after an emergency meeting. **A16**



BUSINESS & FINANCE
Disney eyes launching free, ad-supported channels on its streaming portfolio. **B1**

The Science Lab Where Techs Are Drowning in Feces

Samples—and a certain stink—accumulate thanks to the cyclosporiasis outbreak

By ALEX JANIN

CLIFTON, N.J.—On a laboratory table that normally sits empty, hundreds of feces samples are arranged in stacks six vials high. They've traveled by ground and plane, across seven different eastern U.S. states, for one purpose: to be tested

for parasites, including cyclospora. And they're coming faster than scientists here can test them. So much for summer Fridays at Quest Diagnostics. Quest typically performs between 30 and 40 cyclospora tests a day across its 10 labs equipped to do them. Please turn to page A11



Piling up

This Shopping App Entices Some to Bid Until They're Broke

Whatnot's quick auctions and 'breaks' hook users chasing sports cards and more

By HANNA KRUEGER
AND SARAH NASSAUER

Sean Harding downloaded Whatnot, a live-shopping app, after rekindling his childhood baseball-card collecting hobby. Within four months, the 45-year-old accountant had spent almost \$1.4 million—from his savings, personal loans, money borrowed from a friend and finally from his employer's company credit card. When his wife discovered the full tally, she filed for divorce. "I just kept telling myself one more time, then I'd sell it all and make all my money back," Harding said. "But it was so easy to just swipe right. You don't even remember how many times you've done it." Seven-year-old Whatnot is one of the fastest-growing shopping platforms in America. It allows people to bid, around the clock, on trading

cards, squishy toys, designer fashion and instant ramen, auctioned live in high-energy shows within the app. It has tapped into the addictive qualities of social media, with opportunities fed to you in an algorithm-controlled scroll. Often, users don't search for a particular item, but instead hope to hit on something by being on the app at the right time. The design supercharges traditional shopping sites such as eBay and Amazon with high-pressure countdown auctions, often run by hosts who urge buyers to bid higher and faster. The most feverish shows are built around "breaks," where a person buys an opportunity to win an unknown, potentially valuable, collectible. All the while, emotionally charged chat feeds can amp up the competition. Little slows down a decision to spend, which comes

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